

Task 1 — Entity Selection & Regulatory Research

Course: MH6822 Regulatory Technology | Entity: JPMorgan Chase & Co.

1.1 Selected Regulated Entity: JPMorgan Chase & Co.

Rationale for selection:

JPMorgan Chase (JPMC) is the largest US bank by assets (~\$3.9 trillion as of 2024) and operates extensively across EU jurisdictions, particularly through J.P. Morgan SE (headquartered in Frankfurt, Germany), its principal EU banking subsidiary established post-Brexit. JPMC is simultaneously subject to:

- United States: Office of the Comptroller of the Currency (OCC) supervision, including OCC Bulletin 2026-13 on model risk management
- European Union: European Central Bank (ECB) direct supervision; EU AI Act (Regulation 2024/1689), which entered into force August 2024 with phased obligations through 2027

JPMC is an ideal case because it publicly acknowledges deploying AI across credit underwriting, fraud detection, and customer risk scoring — all domains that fall under the EU AI Act's high-risk AI system classification (Annex III, Category 5b: AI used in creditworthiness assessment).

Key reference URLs:

- JPMorgan SE EU disclosures: <https://www.jpmorgan.com/global/eu-disclosure>
- OCC Bulletin 2026-13: <https://www.occ.treas.gov/news-issuances/bulletins/2026/bulletin-2026-13.html>
- EU AI Act EPRS Analysis: [https://www.europarl.europa.eu/RegData/etudes/ATAG/2025/769509/EPRS_ATA\(2025\)769509_EN.pdf](https://www.europarl.europa.eu/RegData/etudes/ATAG/2025/769509/EPRS_ATA(2025)769509_EN.pdf)
- JPMC 2024 Annual Report: <https://www.jpmorganchase.com/ir/annual-report>

1.2 Selected Domain: AI Governance — Credit Decision Model Risk & Fairness

JPMC uses machine learning models to assess retail and SME loan applications in both the US and EU. This domain sits at the intersection of three regulatory concerns:

- Model Risk Management (MRM) — validating that models perform as intended over time
- Algorithmic Fairness — ensuring models do not produce discriminatory outcomes

- AI Governance — documentation, human oversight, and auditability of AI-driven decisions

This is the domain addressed by OCC Bulletin 2026-13 (US) and EU AI Act Articles 9–15 (EU).

1.3 Regulatory Divergence: US vs. EU

United States — OCC Bulletin 2026-13

OCC 2026-13 updates the 2011 SR 11-7 model risk management guidance for national banks.

Key features:

- Scope: Covers traditional statistical and ML models; explicitly excludes Generative AI (to be addressed separately). This is a deliberate regulatory choice creating a governance gap for banks using LLMs in decision processes.
- Core obligations: Model inventory maintenance; independent model validation; ongoing performance monitoring; board-level model risk appetite statements.
- Performance thresholds: Guidance recommends Population Stability Index (PSI) monitoring. $PSI > 0.20$ triggers enhanced review; $PSI > 0.25$ triggers revalidation.
- Fairness: OCC 2026-13 does not itself mandate fairness metrics — these come separately from ECOA/Regulation B. There is no single numerical threshold for demographic disparity mandated under OCC MRM guidance.
- Political context: The Trump administration's CFPB rollbacks (2025–2026) have reduced explainability requirements for adverse action notices under Regulation B, shifting fairness monitoring to internal governance rather than regulatory mandate.

European Union — EU AI Act (Regulation 2024/1689)

Credit scoring systems are explicitly listed in Annex III as high-risk. The EU AI Act imposes obligations on providers and deployers of such systems:

- Scope: Covers all AI systems, including GenAI (Title III for foundation models). This is the key contrast with OCC 2026-13.
- Pre-market conformity assessment: High-risk AI must undergo conformity assessment before deployment (Article 43). No US equivalent exists.
- Bias testing (Article 10): Training, validation and test data must be managed with attention to biases. Providers must document their bias mitigation methodology.
- Technical documentation (Article 11 + Annex IV): Extensive documentation required covering model purpose, performance metrics, limitations, and training data characteristics.
- Human oversight (Article 14): Deployers must ensure humans can override AI decisions in high-risk contexts. For EU credit decisions, a human review mechanism is mandatory.

- Post-market monitoring (Article 72): Providers must establish post-market monitoring plans and report serious incidents to national authorities.
- Demographic parity: Guidance from the EU AI Office and BaFin has converged around a Demographic Parity Difference (DPD) of < 0.05 as an informal acceptability threshold.

Summary of Key Divergences

Dimension	US — OCC 2026-13	EU — AI Act 2024
GenAI scope	Explicitly EXCLUDED	Included (Title III)
Pre-deployment conformity	Not required	Mandatory for high-risk (Art. 43)
Fairness metrics	No mandated threshold (ECOA separate)	Bias testing required; DPD < 0.05 informal standard
Human oversight	Recommended	Mandatory (Article 14)
Incident reporting	Internal escalation	Regulatory notification required
PSI revalidation trigger	> 0.25	No PSI equivalent; post-market plan required
Documentation standard	Model inventory + validation report	Annex IV technical documentation

1.4 References

- OCC Bulletin 2026-13 (Model Risk Management): <https://www.occ.treas.gov/news-issuances/bulletins/2026/bulletin-2026-13.html>
- EU AI Act (Official Journal): <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:32024R1689>
- EU AI Act EPRS Analysis (2025): [https://www.europarl.europa.eu/RegData/etudes/ATAG/2025/769509/EPRS_ATA\(2025\)769509_EN.pdf](https://www.europarl.europa.eu/RegData/etudes/ATAG/2025/769509/EPRS_ATA(2025)769509_EN.pdf)
- CFPB Regulation B Rewrite (2026): <https://www.consumerfinancialserviceslawmonitor.com/2026/04/cfpb-finalizes-regulation-b-subpart-a-rule-largely-as-proposed/>
- OSFI E-23 2027 (Canada, comparative): <https://www.osfi-bsif.gc.ca/en/guidance/guidance-library/guideline-e-23-model-risk-management-2027>
- JPMorgan Chase 2024 Annual Report: <https://www.jpmorganchase.com/ir/annual-report>
- BaFin AI Supervisory Guidance (2024): https://www.bafin.de/SharedDocs/Veroeffentlichungen/EN/Meldung/2024/meldung_2024_KI_en.html